Indian Economy

Five Year Plans

The Visvesvaraya Plan
- 1934

The Federation of Indian Chambers of Commerce and Industry (FICCI) Proposal
- 1934

The Congress Plan/National Planning Committee
- 1938

The Bombay Plan
- 1944

The Gandhian Plan
- 1944

The people's Plan
- 1945

The Sarvodaya Plan
- 1950

History of Economic Planning in India

- Economic Planning in India dates back to Pre-Independence period when leaders of the freedom movement and prominent industrialists and academicians got together to discuss the future of India after Independence which was soon to come.
- Noted Civil engineer and administrator **M.Visvesvaraya** is regarded as a pioneer of economic planning in India. He was the first one in India to conceive the idea of economic planning in his book " **Planned Economy for India**", in which he presented a constructive draft of the development of India in a decade. His core idea was to lay out a plan to shift labor from agriculture to industries and double of national income in ten years.

National Planning Committee (1938)

- Planning, was first initiated in India in 1938 by congress president Subhash Chandra Bose, later on Jawaharlal Nehru was made head of the National Planning Committee. This was followed by the formulation of National Planning Committee consisting of fifteen members, in a memorandum, the committee emphasized that the national independence is indispensable primary condition for taking all the steps that might be found necessary for carrying out the plan in all its various aspects. The setting up by the Indian National congress of a NPC towards the end of 1938 –nine years before independence- highlighted both the importance of social and economic objectives as also need to profit from experience of planned development through national plans elsewhere. The NPC appointed several sub committees to study different aspects of national economy. It was the first planned and organized attempt on the part of the people of India to examine the fundamental economic problems and draw up coordinate plan for the uplift ment of its people.

National Planning Committee – 1938

In 1938, as Congress, President Netaji Subhas Chandra Bose set up a National Planning Committee.

"Planning, under a democratic system, may be defined as the technical coordination, by disinterested experts of consumption, production, investment, trade, and income distribution, in accordance with social objectives set by bodies representative of the nation.

Such planning is not only to be considered from the point of view of economics, and raising of the standard of living, but must include cultural and spiritual values, and the human side of life."

- **Gandhian Plan**
- In 1944, Sriman Narayan Agarwal authored the Gandhian plan, in which he emphasized the promotion of small unit production and agriculture, based on Gandhian economic ideas. Its key characteristics were economic decentralization, with self-contained villages and cottage enterprises.
- Gandhiji was never a supporter of centralization, industrialization, or state control over the economy. In his opinion, agriculture should be prioritized, and decentralization and self-contained settlements should be encouraged.
- The Gandhian economic order is built on the principles of Simplicity, co-operation, human values, swadeshi and trusteeship theory.
- Thus this plan emphasized the economic decentralization with primacy to rural development by developing cottage industries.

- Bombay Plan
- The Bombay plan was a set of proposal of a small group of influential business leaders in Bombay for the development of the post-independence economy of India. This plan was published in two-parts or volume – first in 1944 and second in 1945.
- The prime objectives of the plan were to achieve a balanced economy and to raise the standard of living of the masses of the population rapidly by doubling the present per capita income within a period of 15 years from the time the plan goes in to operation.
- This plan envisages that the economy could not grow without government intervention and regulation. In other words, the future government protects indigenous industries against foreign competition in local markets.
- People associated with Bombay plan were J.R.D.Tata, G.D.Birla, P.Thakurdas, Kasturbhai Lalbhai among others.

- **People’s Plan**
- This plan was drafted by M.N.Roy in 1945. It was different from the Bombay Plan in methodology and priorities. The strategy of the People’s plan covered a ten-year span and gave agriculture top attention. The fundamental feature of this plan was nationalization of all agriculture and production. M.N.Roy, on behalf of the Indian Federation of Labour, created this proposal based on Marxist Socialism, which prioritized agriculture and production. The plan’s goal is to address the Indian people’s immediate basic needs. However, it concentrates mostly on agriculture development, as the proponents of this plan believe that people’s purchasing power cannot be raised unless agriculture, the country’s major occupation becomes profitable.

- **Sarvodaya Plan**
- Sarvodaya Plan(1950) was drafted by **Jaiprakash Narayan**. This plan itself was inspired by Gandhian Plan and Sarvodaya idea of Vinoba Bhave. This plan emphasized on agriculture and small and cottage indsutries. It also suggested the freedom from foreign technology and stressed upon land reforms and decentralized participatory planning
- Apart from this several other plans like Post-war reconstruction plan, Advisory Planning Board(1946) were created.

- Finally on 15th August 1947, India was free from the British Imperial Rule. The constitution of India came into force on 26th January 1950. The working committee of the congress party passed a comprehensive resolution on Planned economy for the country and the appointment of the planning commission. The resolution states" The need for a comprehensive plan has become a matter of compelling urgency in India now owing to the ravages of second world war and the economic and political consequences of the partition of the country which followed in the wake of achievement of freedom and steady worsening of the economic situation in India and the World."
- Thus the **National Planning commission** which can fulfill the constitutional aims and ideals was established on **15th March,1950.**
- In due course, various plans were designed so as to have an organized and systematic economic development in India.

PLANNING COMMISSION

- extra-constitutional (i.e., non-constitutional) and non-statutory body
- An advisory body to the Government of India
- A 'think tank' on economic development with the Prime Minister as its ex-officio Chairman and with the provision of a Deputy Chairman, with the rank of a full cabinet minister.
- open provision for the number of its membership (as many area experts are required by the particular proposed period of planning) other than six Union Cabinet Ministers as its ex-officio members
- An autonomous body entitled to form its own views on important issues and place them before the governments
- Was invariably *consulted* on changes proposed in social and economic policies
- Linked with the Union Cabinet at the secretariat level
- technical body with experts and professionals coming from an array of specific areas as per the need of planning of the concerned per

- **Objectives of Economic Planning in India**
- Economic planning in India has been an integral part of the country's development strategy since its independence in 1947. The main objective of economic planning in India is to achieve rapid economic growth while promoting social justice and reducing poverty. This has been achieved through various Five-Year Plans, which outline the country's economic and social goals, and the policies and strategies required to achieve them. Some of the key objectives of economic planning in India include the following:
- **Economic growth:** One of the primary objectives of economic planning in India is to promote economic growth, measured in terms of gross domestic product (GDP). This involves increasing the production and consumption of goods and services in the country, creating jobs, and reducing poverty.
- **Reducing Poverty:** Economic planning aims to reduce poverty by creating employment opportunities, increasing the productivity of the workforce, and providing basic necessities to the poor.
- **Self-Sufficiency:** One of the primary objectives of economic planning in India has been to achieve self-sufficiency in key areas such as food, energy, and defence. This is done by promoting domestic production, reducing dependence on imports, and promoting indigenous research and development.
- **Social justice and equity:** Economic planning in India also aims to promote social justice and equity by ensuring that the benefits of economic growth are distributed fairly across all sections of society.

- **Regional Development:** Economic planning in India also aims to promote regional development by reducing regional imbalances and promoting the development of backward regions. This is done by providing infrastructure, incentives, and subsidies to promote industrialization and economic growth in these regions.
- **Employment generation:** India has a large and growing population, with a significant portion of the workforce employed in the **informal sector.** Economic planning aims to create new employment opportunities, especially in the manufacturing and services sectors, and promote entrepreneurship and self-employment.
- **Reducing regional disparities:** India is a vast country with significant regional disparities in terms of income, infrastructure, and access to basic services such as healthcare and education. Economic planning aims to reduce these disparities by allocating resources to underdeveloped regions and promoting balanced regional development.
- **Balanced Regional Development:** Economic planning also aims to promote balanced regional development by ensuring that the benefits of development reach all parts of the country. This is achieved by investing in infrastructure, setting up industries in backward areas, and promoting entrepreneurship.
- **Increased Standard of Living:** Economic planning in India aims to increase the standard of living of the people by promoting economic growth and providing access to basic amenities such as healthcare, education, and housing.

FIVE YEAR PLANS

- From 1947 to 2017, the Indian economy was premised on the concept of planning. This was carried through the **Five-Year Plans**, developed, executed, and monitored by the Planning Commission (1951-2014) and the NITI Aayog (2015-2017). With the prime minister as the ex-officio chairman, the commission has a nominated deputy chairman, who holds the rank of a cabinet minister.
- The new government led by Narendra Modi, elected in 2014, announced the dissolution of the Planning Commission, and its replacement by a think tank called the NITI Aayog (an acronym for National Institution for Transforming India).
- Five-Year Plans (FYPs) are centralized and integrated national economic programs. Joseph Stalin implemented the first Five-Year Plan in the Soviet Union in 1928. Most communist states and several capitalist countries subsequently have adopted them.
- India launched its First FYP in 1951, immediately after independence, under the socialist influence of India's first prime minister, Jawaharlal Nehru.

- **First Plan (1951–1956)**
- The first Indian prime minister, Jawaharlal Nehru, presented the First Five-Year Plan to the Parliament of India and needed urgent attention. The First Five-year Plan was launched in 1951 which mainly focused in the development of the primary sector. The First Five-Year Plan was based on the Harrod–Domar model with few modifications.
- This five years plan's president was Jawaharlal Nehru and Gulzarilal Nanda was the vice-president. The motto of first five years plan was ' Development of agriculture' and the aim was to solve different problems that formed due to the partition of the nation, second world war. Rebuilding the country after independence was the vision of this plan. Another main target was to lay down the foundation for industry, agriculture development in the country and to provide affordable healthcare, education in low price to the masses.

- The target growth rate was 2.1% annual gross domestic product (GDP) growth; the achieved growth rate was 3.6%.
- Many irrigation projects were initiated during this period, including the Bhakra, Hirakud and Damodar Valley dams. The World Health Organization (WHO), with the Indian government, addressed children's health and reduced infant mortality, indirectly contributing to population growth.
- At the end of the plan period in 1956, five Indian Institutes of Technology (IITs) were started as major technical institutions. The University Grants Commission (UGC) was set up to take care of funding and take measures to strengthen the higher education in the country. Contracts were signed to start five steel plants, which came into existence in the middle of the Second Five-Year Plan. The plan was deemed successful for the government having outperformed growth projections.

- **Second Plan (1956–1961)**
- The Second Plan focused on the development of the public sector and "rapid Industrialisation". The plan followed the Mahalanobis model, an economic development model developed by the Indian statistician Prasanta Chandra Mahalanobis in 1953. The plan attempted to determine the optimal allocation of investment between productive sectors in order to maximize long-run economic growth. It used the prevalent state-of-the-art techniques of operations research and optimization as well as the novel applications of statistical models developed at the Indian Statistical Institute. The plan assumed a closed economy in which the main trading activity would be centered on importing capital goods. From the Second Five-Year Plan, there was a determined thrust towards substitution of basic and capital good industries.
- Hydroelectric power projects and five steel plants at Bhilai, Durgapur, and Rourkela were established with the help of the Soviet Union, Britain and West Germany respectively. Coal production was increased. More railway lines were added in the north east.
- The Tata Institute of Fundamental Research and Atomic Energy Commission of India were established as research institutes. In 1957, a talent search and scholarship program was begun to find talented young students to train for work in nuclear power.

- The total amount allocated under the Second Five-Year Plan in India was Rs. 48 billion. This amount was allocated among various sectors: power and irrigation, social services, communications and transport, and miscellaneous. The second plan was a period of rising prices. The country also faced foreign exchange crisis. The rapid growth in population slowed down the growth in the per-capita income.
- The target growth rate was 4.5% and the actual growth rate was 4.27%

- **Third Plan (1961–1966)**
- The Third Five-year Plan stressed agriculture and improvement in the production of wheat, but the brief Sino-Indian War of 1962 exposed weaknesses in the economy and shifted the focus towards the defence industry and the Indian Army. In 1965–1966, India fought a War with Pakistan. There was also a severe drought in 1965. The war led to inflation and the priority was shifted to price stabilisation. The construction of dams continued.
  Many cement and fertilizer plants were also built. Punjab began producing an abundance of wheat.
- Many primary schools were started in rural areas. In an effort to bring democracy to the grass-root level, Panchayat elections were started and the states were given more development responsibilities. For the first time India resorted to borrowing from IMF. Rupee value devalued for the first time in 1966.
- State electricity boards and state secondary education boards were formed. States were made responsible for secondary and higher education. State road transportation corporations were formed and local road building became a state responsibility.
- The target growth rate was 5.6%, but the actual growth rate was 2.8%
- The principle aim of this plan was to establish a self-reliant and self-evident(take off stage) economy.

Plan Holidays (1966–1969)

- Due to miserable failure of the Third Plan the government was forced to declare "plan holidays" (from 1966 to 1967, 1967–68, and 1968–69). Three annual plans were drawn during this intervening period. During 1966–67 there was again the problem of drought. Equal priority was given to agriculture, its allied activities, and industrial sector. The government of India declared "Devaluation of Rupee" to increase the exports of the country. The main reasons for plan holidays were the war, lack of resources and increase in inflation.